JATHNIER CORPORATION
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M E M O R A N D U M

October 14, 2022 GM-2022-1014-0012

TO: **SUPPLY CHAIN MANAGEMENT DEPARTMENT**
GENERAL ACCOUNTING DEPARTMENT
ACCOUNTS PAYABLE / ACCOUNTS RECEIVABLE SECTION
PROCUREMENT SECTION

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/HRD/File**

Re: **POLICIES & PROCEDURES: JATHNIER CORPORATION STANDARD USE OF PURCHASE ORDER (P.O.)**

Moving forward to our corporate vision in business year 2022, herewith is the Jathnier Corporation Standard Corporate Policy and Procedure on the issuance of **PURCHASE REQUEST (P.R.)** and **PURCHASE ORDER (P.O.)** by the Procurement Section of Supply Chain Management Department.

INTERNAL CONTROLS

An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

Definitions:

1. **PURCHASE REQUEST (P.R.)** – Is a standard accountable form used by the company to document the intent of every department or authorized personnel to purchase any items considered by the company as asset to external vendor or supplier (e.g. raw materials, vehicles & equipment, tools & utensil, supplies, Forms, peripherals & other items considered as asset). Issuance of this form must follow the standard accomplishment of the PR form and its approval matrix (see latest memorandum on approval matrix). PR is the document for the Purchasing Section to execute standard procurement procedure going to the issuance of Purchase Order (PO).

2. **PURCHASE ORDER (P.O.)** – Is a standard accountable form used by the company as a source document used by the purchasing department to place an order with a vendor or supplier. In other words, this is the contract that a buyer drafts to purchase goods from a seller. Take notice on the word "Contract" it has a legal attribute that binds the transaction of the buyer and the seller. This PO is the document where the vendor or seller points its reference to prepare ordered items to be delivered and to establish the point of sale to the buyer through Delivery Invoice or Sales Invoice.

A. CORPORATE POLICY ON PURCHASE REQUEST (PR), PURCHASE ORDER (PO) & SUPPLIER'S DELIVERY INVOICE OR SALES INVOICE.

1. No Purchase Request (PR), No procurement Procedure and NO Purchase Order (PO).
2. Purchase Request must be properly accomplished and have proper approval in accordance with management approval matrix.
3. PR will undergo standard procurement procedure (canvassing, review & negotiation).
4. Purchase Order will be issued only upon following the standard procurement procedure and finality of the specification, terms and conditions set forth on the PR with the vendor or supplier.

5. Details of Purchase Order issued must match 100% with the vendor's or supplier's delivered items and the details reflected on the Delivery Invoice or Sales Invoice (note: Sales Invoice of the supplier must reflect the PO reference).
6. Aside from reference PO on the Sales Invoice, supplier must attached a PO copy to their Delivery or Sales Invoice.
7. Warehouse, Property Control or any receiving end will not accept any vendor or suppliers delivery not following this Corporate Policy.
8. All ordered items should follow the updated Standard Data Master List. In case where item description is not in the master list, a formal request to Cost & Inventory Management Department to provide and update the Data Master List, before any order is to be processed.

B. CORPORATE POLICY ON ISSUANCE OF BLANKET PURCHASE ORDER (P.O.) AND CORRESPONDING INSTALLMENT DELIVERIES.

Rationale: Blanket Purchase Order or Wholesale Purchase Order – is issued for the basic purpose of price protection and volume allocation security. This is a common practice in trade that requires diligent monitoring system or procedure, for the very reason that this type of practice is susceptible to a fraudulent type of transaction, such as padding or chain of expanding Purchase Order.

1. Blanket PO for such specific purpose – price protection and volume allocation security.
2. Installment deliveries should be properly monitored both by Purchasing Section & the receiving end (i.e. warehouse, property control & branches)
3. No new issuance of Blanket Purchase Order until the previous issued PO is delivered in full, received and transaction is closed.

C. CORPORATE POLICY ON TAMPERING OF DATA ON ISSUED PURCHASE ORDER (P.O.)

Rationale: Purchase Order is a contract that a buyer drafts to purchase goods from a seller. Take notice on the word "Contract", it has a legal attribute that binds the transaction of the buyer and the seller.

1. For the very reason that a Purchase Order is a contract, any erasures, changes or alterations during or upon use (delivery of items) of the Purchase Order, is deemed a violation of the contract.
2. In instance where Purchase Order does not match with the supplier's delivery invoice or sales invoice. We go back to Corporate Policy "A.", **if ever the delivered item is proven correct and the PO issued is erroneous, the resolution is to CANCEL PO and RE-ISSUE NEW & CORRECTED PO by the purchasing section with notation on the PO of such nature and approved by the Supply Chain Manager.**

D. CORPORATE POLICY ON ISSUANCE OF PURCHASE REQUEST, SALES ORDER (Supplier Merchandize) AND PURCHASE ORDER FOR OTHER ROSEBAKESHOP COMPANIES IN COMING SUPPLY DELIVERIES (Finish Goods, Raw Materials, Supplies & other related items).

Rationale: All in-coming deliveries (Finish Goods, Raw Materials, Merchandize, supplies, Packaging Materials) are considered coming from accredited vendor or supplier. This include other companies that are using the same trade name "Rosebakeshop" and It is understood that an official order has been placed.

1. All in-coming deliveries of raw materials, finish goods, merchandize, supplies, equipment, tools & utensils, packaging material and other related items are to be treated coming from accredited vendor or supplier (external). Except, for items coming from within the company segments (branches & departments) using the BO Form, Pull Out Receipt and Inventory Transfer Summary Report (QB DR).
2. All this type of in-coming deliveries to be accepted and recognize, the standard corporate policies regarding issuance of Purchase Order will be followed strictly.

Strict compliance is required for this Policies & Guidelines and this will officially take effect on **October 17, 2022**. Any clarification on this matter please communicate accordingly.

Noted:

Gabriel L. Cuaycong
GM/RBS-JC

Melina G. Comedido
VP/Operations Director-JC